

1 ENGROSSED HOUSE
2 BILL NO. 3313

By: Eaves of the House

and

Bullard of the Senate

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7 An Act relating to retirement; amending 74 O.S. 2021,
8 Sections 935.5 and 935.7, as amended by Section 3,
9 Chapter 47, O.S.L. 2024 (74 O.S. Supp. 2025, Section
10 935.7), which relate to the Retirement Freedom Act;
11 modifying minimum employer contribution amount;
12 modifying provisions related to employer matching;
13 modifying minimum employee contribution amount;
14 eliminating vesting schedule for certain funds;
15 providing that reemployed participants shall be
16 entitled to certain contributions; and providing an
17 effective date.

18 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

19 SECTION 1. AMENDATORY 74 O.S. 2021, Section 935.5, is
20 amended to read as follows:

21 Section 935.5. A. ~~Except as otherwise provided by subsection B~~
22 ~~of this section~~ Beginning November 1, 2026, employers of employees
23 who become participants in the defined contribution retirement
24 system shall match the employee contribution paid on a monthly or
more frequent basis at the rate of ~~six percent (6.0%)~~ seven percent
(7.0%) based on the same compensation amount used to compute the
employee contribution amount.

1 B. ~~If an employee selects a contribution rate of seven percent~~
2 ~~(7.0%) or more, but not higher than allowed pursuant to the maximum~~
3 ~~annual contribution limit prescribed by Section 415 of the Internal~~
4 ~~Revenue Code of 1986, as amended, the employer matching amount shall~~
5 ~~be seven percent (7.0%).~~

6 C. ~~The initial four and five-tenths percent (4.5%)~~ five percent
7 (5.0%) employee contribution rate shall be the only mandatory
8 contribution of an employee participating in the defined
9 contribution retirement system created by this act. These funds
10 shall be placed by the System in either a 401(a) plan or a 457(b)
11 plan, to be determined by the Board to maintain the plan consistent
12 with the Internal Revenue Code. Any employee contributions ~~eligible~~
13 ~~to be matched under this section over the four and five-tenths~~
14 ~~percent (4.5%)~~ five percent (5.0%) initial contribution shall be
15 considered voluntary deferrals of compensation and placed in a
16 457(b) plan. All employer matching funds shall be placed in a
17 401(a) plan.

18 Any employee contribution rate that is more than the ~~four and~~
19 ~~five-tenths percent (4.5%)~~ five percent (5.0%) rate can be chosen by
20 the participating employee upon the employee's initial
21 participation, and can be changed once per month. The employee
22 contribution rate chosen shall continue until the employee elects to
23 change the contribution rate or terminates service or retires.

1 ~~D.~~ C. The employer match as set forth in subsection A of this
 2 section may be increased at any time by the Legislature without
 3 affecting the then-existing rights of participating employees and
 4 beneficiaries in order to encourage participating employees to
 5 accumulate deferred income reserves for themselves and their
 6 dependents. The employer match may be decreased at any time by the
 7 Legislature without affecting the then-existing rights of
 8 participating employees and beneficiaries in order to provide
 9 funding as may be needed to reduce the unfunded liabilities of the
 10 defined benefit plan as set forth in Section 901 et seq. of this
 11 title, but shall not be less than ~~six percent (6.0%)~~ seven percent
 12 (7.0%) for any year during which the defined contribution plan is
 13 maintained.

14 SECTION 2. AMENDATORY 74 O.S. 2021, Section 935.7, as
 15 amended by Section 3, Chapter 47, O.S.L. 2024 (74 O.S. Supp. 2025,
 16 Section 935.7), is amended to read as follows:

17 Section 935.7. A. Participating employees shall at all times
 18 be vested at one hundred percent (100%) of their accounts containing
 19 solely their employee contributions, and the gains or losses on
 20 these contributions. Participating employees will have investment
 21 discretion over these accounts within the available options offered
 22 by the Board.

23 B. ~~Participating~~ Beginning November 1, 2026, participating
 24 employees shall at all times be vested at one hundred percent (100%)

1 with respect to the employer matching amounts, and the gains or
2 losses on these funds, deposited into their defined contribution
3 system account or accounts ~~according to the following schedule based~~
4 ~~on years of participating service:~~

5 ~~Year 1 — 20%~~

6 ~~Year 2 — 40%~~

7 ~~Year 3 — 60%~~

8 ~~Year 4 — 80%~~

9 ~~Year 5 and thereafter — 100%.~~

10 ~~C.~~ Participating employees will have investment discretion over
11 all employer contributions.

12 ~~D. For purposes of determining a participating employee's right~~
13 ~~to withdraw employer matching contributions and any investment gains~~
14 ~~upon such employer contribution matching amounts, the vesting~~
15 ~~percentages apply at the end of each full year of service as~~
16 ~~described in subsection B of this section.~~

17 ~~E.~~ C. For participating employees who do not select any
18 investment options, the OPERS Board will establish default
19 investment options for the contributions received from participating
20 employees and ~~default investment options for~~ matching employer
21 contributions.

22 ~~F.~~ D. To the extent that participants leave employment on or
23 before October 31, 2026, and have not vested in all of the employer
24 contributions, the nonvested employer contributions, including any

1 gains or losses, shall be immediately forfeited to the 401(a) plan
2 and may be used to offset costs of administering the plan or as
3 permitted by federal law. Upon reemployment with an employer on or
4 after November 1, 2026, and satisfying the eligibility requirements
5 to become a participant, the reemployed participant shall ~~receive~~
6 ~~credit for previous service and be vested at the same percentage the~~
7 ~~participant was vested when service was previously terminated~~ be
8 entitled to his or her previously vested employer contributions and
9 all new matching employer contributions deposited beginning on the
10 date of re-employment. However, under no circumstances shall the
11 participant be entitled to any previously forfeited employer
12 contributions.

13 SECTION 3. This act shall become effective November 1, 2026.

14 Passed the House of Representatives the 11th day of March, 2026.

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17 Presiding Officer of the House
18 of Representatives

19 Passed the Senate the _____ day of _____, 2026.

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22 Presiding Officer of the Senate
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